



Income Tax Department

Ministry of Finance, Government of India

Application for grant of certificates for deduction or collection of income-tax at any lower rates, or no deduction of income-tax.

213. (1) An application shall be made in Form No. 128 for grant of a certificate for —

- (a) the deduction of income-tax at any lower rates, or no deduction of income-tax, under sub-section (1) of section 395; or
- (b) the collection of income-tax at any lower rates under sub-section (3) of the said section.

(2) The provisions of sub-rule (1) may not be applicable to the person, who is eligible for a certificate of no deduction of tax in respect of income or sum specified under rule 209.

(3) The Assessing Officer may issue the certificate specified in sub-rule (1), after taking into consideration the following:—

- (a) tax payable on the estimated income for the tax year under consideration;
- (b) tax paid or payable on the returned income, assessed income or estimated income, as the case may be, of last four tax years;
- (c) existing liability under the Act, and the Income-tax Act, 1961 (43 of 1961)(as it existed prior to its repeal); and
- (d) advance tax payments, taxes deducted or collected at source at the credit of the taxpayer as on the date of application for the tax year for which application is made.

(4) In case of a person being a specified entity, as referred to in section 263(9)(c), or a registered non-profit organisation, the Assessing Officer, before issue of certificate specified under sub-rule (1), shall in addition to conditions specified in sub-rule (3), take into consideration the following:—

- (a) the specified entity is approved for the purpose of exemption from income-tax as on the date of application and also as on date of grant of certificate for that tax year; and
- (b) the person concerned has furnished the returns of income for last four tax years, for which such returns became due on or before the date on which the application under sub-rule (1) is made.

(5) In a case, where a certificate is to be issued in respect of dividend income referred to in section 393(1) [Table: Sl. No. 7], the following conditions shall also be required to be fulfilled, in addition to conditions specified in sub-rule (3):—

- (a) the shares in respect of which the certificate is sought shall be shares in public companies; and
- (b) (i) such shares stand in the name of the applicant and are beneficially owned by him and the dividends therefrom are not includible in total income of any other person under sections 96 to 99; or
(ii) such shares stand in the name of the applicant and are held by him on behalf of a registered non-profit organisation and the dividends therefrom are exempt from tax under Chapter XIX-B of the Act.

(6) The certificate specified under sub-rule (5) shall cease to operate from the date of notice to the company for transfer of shares mentioned therein to another person, to the extent of income corresponding to the shares so transferred.

(7) The certificate specified under this rule shall be valid for such period of the tax year, as may be specified in the certificate, unless it is cancelled by the Assessing Officer at any time before the expiry of the specified period.

(8) The certificate shall be issued in the name of the person responsible for deducting or collecting the tax, under advice to the applicant and shall be valid only in respect of—

- (a) a specified payment from the specified deductor, to the extent of the amount specified in the certificate; and
- (b) a specified receipt from the specified collector, to the extent of the amount specified in the certificate.

(9) Where the number of persons responsible for deducting the tax is likely to exceed one hundred and details of such persons are not available with the applicant at the time of making application, the certificate for deduction of income-tax at lower rate may be issued in the name of the applicant authorising him—

- (a) to receive specified payments at appropriate rate of deduction;
- (b) to generate appropriate certificate and provide to the person responsible for deducting tax; and
- (c) such certificate shall be generated from the portal of the Income-tax Department.